

of app-based loans she took for her wedding and parents' medical expenses. Initially, she juggled ₹16.37 lakh in debt on a monthly income of just ₹30,000. But, a sudden financial catastrophe, coupled with constant lender calls (nearly 300 a day) and harassment, started taking a toll. Sree found SingleDebt, a debt management solutions provider, while searching for legal advice on creditor harassment. Its counsel has helped her regain control over her finances.

Due to such instances, debt-

relief platforms have seen a boom of late. "Our customer base has increased three times from last year... the trend shows that over-leveraging is happening and stress is building up," says Ritesh Srivastava, CEO & Founder of Gurugram-based debt relief platform FREED. He says the average loan size for FREED's customers has risen to ₹5.30 lakh now from ₹4 lakh in 2020, and the average age of a borrower has gone up from 29 to 32.

Harish Parmar, Founder of SingleDebt—that has seen a 25 per cent

increase in business—warns that this boom could snowball into a crisis as serious as the 2008 US subprime one. "People are struggling to pay online credit they got from BNPL and loans on apps. More due diligence has to be done... If that is not done, then this is a time bomb ready to explode... a lot of irresponsible lending is taking place."

DIGITAL LENDING SURGES

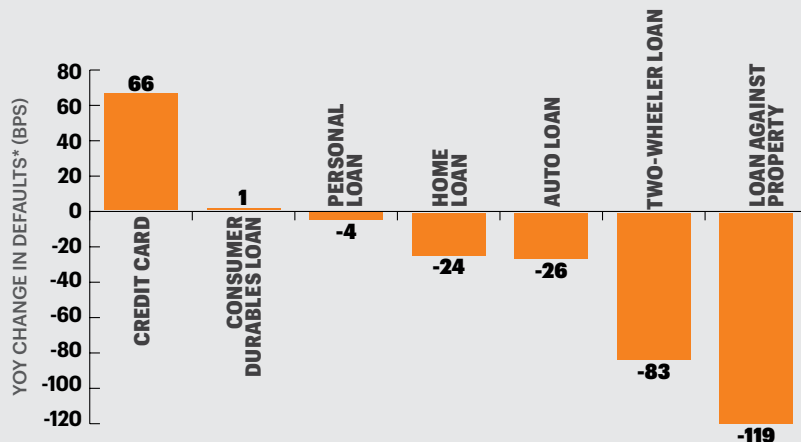
Catapulted by the rise in small-ticket lending, India has seen an annual growth of 39.5 per cent in digital lending over the past 10 years. Per a report by IIFL Fintech, India's digital lending market is expected to touch \$515 billion by 2030 from \$38.2 billion in 2021, at a CAGR of 33.5 per cent. Do note that most of these are unsecured loans, disbursed without any collateral.

Two things led to this surge: digitalisation and cross-selling. The pandemic helped fintechs shine because they could serve customers from a distance. Subsequently, payment apps such as Mobikwik and Paytm started cross-selling products, leading to easy loans. Today, Bajaj Finserv, Navi, LoanTap, PayMe, SmartCoin are among players that offer app-based loans.

To facilitate lending, fintechs tie up with NBFCs or banks, and leverage tech to streamline the application and disbursement process. Customers can easily apply for loans through apps by submitting the required documents, which are authenticated using a number of digital tools. Often, the loan is disbursed within hours.

The partnership with fintechs is one reason why there has been a spike in unsecured loans of NBFCs; according to a report by rating agency Icria, the number rose to about 23 per cent of the retail NBFC AUM in March 2023, from 17 per cent in March 2021. Per a Reserve

DEBT STRESS



*DEFAULTS WITH DUE DATE PAST OVER 90 DAYS; DATA AS OF MARCH 2023

> **Defaults in credit cards rose even as high growth in retail credit continued**

> **Secured loans registered a decline in defaults**

SOURCE TRANSUNION CIBIL CONSUMER CREDIT DATABASE



"Our customer base has increased three times from what it was last year... the trend clearly shows that overleveraging is happening and stress is building up"

RITESH SRIVASTAVA
CEO & FOUNDER, FREED